

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) FMM — Semester IV Examination, 2023-24

Paper No. BCF-222: Financial Analysis

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all the questions. All questions are of equal marks (14 marks each).

Question 1. What is meant by interpretation of financial statements? Explain its various components and discuss its importance. [14]

OR

Explain the method of preparing a comparative balance sheet and draw such a balance sheet on the basis of imaginary data. [14]

Question 2. The following data are available from financial record of the company for the year 2022-23. On the basis of data, calculate the following ratios:

- (i) Current Ratio
- (ii) Quick Ratio
- (iii) Inventory Turnover
- (iv) Payable Turnover
- (v) Average Payment Period

[14]

Particulars	Amount (Rs.)
Sales	26,50,000
Sundry Creditors	6,00,000
Bills Payable	1,50,000
Purchase	17,00,000
Purchase Returns	37,500
Sundry Debtors	6,00,000
Inventory	4,00,000
Cash in Hand	2,50,000
Cash at Bank	10,00,000

OR

- (i) Capital investment in the company is Rs. 50,00,000 and its total turnover is 4 times of the capital investment. The gross profit margin on sales of the company is 5%. What is the rate of return on investment of the company? [7]
- (ii) What is debt equity ratio? Is there any standard debt equity ratio? Why is it necessary to maintain a balance between debt and equity invested in an enterprise? [7]

Question 3. Golu Ltd. enterprises balance sheet on 31st March, 2021 and 2022 is as following:

Liabilities	2021 (Rs.)	2022 (Rs.)	Assets	2021 (Rs.)	2022 (Rs.)
Share Capital	40,00,000	52,00,000	Goodwill	–	4,00,000
Reserve	10,00,000	10,00,000	Plant & Machinery	22,59,000	23,24,000
Profit & Loss A/c	7,93,800	8,24,400	Building	29,70,000	28,85,000
Sundry Creditors	7,90,000	8,22,700	Stock	22,20,800	19,47,400
Bills Payable	6,75,600	2,30,500	Cash in Hand	46,300	14,700
Bank Overdraft	11,90,200	–	Sundry Debtors	17,03,500	14,52,500
Provision for Taxation	8,00,000	10,00,000	Cash at Bank	50,000	54,000
Total	92,49,600	90,77,600	Total	92,49,600	90,77,600

Additional Information:

- (i) An interim dividend of Rs. 5,20,000 was paid during 2022.
- (ii) The assets of another company were purchased for Rs. 12,00,000 payable in fully paid shares of the company. These assets include stock Rs. 4,32,800, machinery Rs. 3,67,200 and goodwill Rs. 4,00,000. In addition, miscellaneous items amounting to Rs. 1,13,000 were also purchased in connection with the plant purchase.
- (iii) An amount of Rs. 5,00,000 was paid during 2022 as Income Tax.
- (iv) The net profit (before tax) for the year 2022 was Rs. 12,50,000.

Prepare a schedule of changes of working capital and the fund flow statement for the year 2022. [14]

OR

What do you understand by schedule of change in working capital? How does this schedule help in preparing the fund flow statement? [14]

Question 4. What is the purpose of preparing a cash flow statement? How is it prepared? Explain with imaginary figures. [14]

OR

Explain the method of calculating 'cash from operations' and clarify the difference between cash budget and cash flow statement. [14]

Question 5. Write short notes on:

- (i) Profit volume ratio and its various uses [3.5]
- (ii) Margin of safety [3.5]
- (iii) Fixed and variable cost [3.5]
- (iv) Contribution [3.5]

OR

The following is the cost information relating to manufacturing of a product:

Selling Price	Rs. 20 per unit
Trade Discount	5% of selling price
Material Cost	Rs. 6 per unit
Labour Cost	Rs. 4 per unit
Overheads:	
Fixed Cost	Rs. 20,000
Variable Cost	100% of labour cost

You are required to calculate the following:

- (i) Break Even Point [7]
- (ii) Profit if sales are 10% and 15% above the break even point. [7]